CASE ID: 20229710002
EPISODE NAME: China adds Lockheed and Raytheon to Unreliable Entities List
2022/09/02 - Ongoing
Sender: China (710)
Target: United States of America (2)
Issue: End Weapons/Materials Proliferation (9)
Final Outcome: Ongoing

Summary:

On 2022/09/02, China made a vague threat of sanctions towards the US in response to the US's arms sale to Taiwan that day. On 2023/02/16, US defense firms Lockheed Martin and Raytheon Missiles & Defense were added to China's Unreliable Entities List, due to their sale of arms to Taiwan. Lockheed and Raytheon remain on the Unreliable Entities List, but neither have adjusted their behavior in response to the involved sanctions.

Narrative:

On 2022/09/02, China, through the spokesperson for the Chinese Embassy in the United States, Liu Pengyu, made a vague threat of sanctions towards the US. Pengyu stated, in response to the US's arms sale to Taiwan on 2022/09/02,[1] that the arms sale, "severely jeopardizes China-U.S. relations and peace and stability across the Taiwan Strait," and that, "China will resolutely take legitimate and necessary counter-measures in light of the development of the situation."[2]

On 2023/02/16, China imposed sanctions on United States defense firms Lockheed Martin and Raytheon Missiles & Defense, including import restrictions, export restrictions, travel bans, investment bans, and fines, by adding them to the Unreliable Entities List.[3] According to China's Ministry of Commerce, the sanctions were imposed so that Lockheed and Raytheon would not be able to use Chinese products for military applications.[4] This was in response to the US's $1.1

[1] Harris, Bryant. "US approves $1.1 billion Taiwan arms sale." *Defense News*, September 6th, 2022. https://www.defensenews.com/pentagon/2022/09/06/us-approves-11-billion-taiwan-arms-sale/#:~:text=By%20Bryant%20Harris,robust%20bipartisan%20support%20for%20Taipei.
[2] Zengerle, Patricia, and Martina, Michael. "U.S. angers China with potential $1.1 billion arms sale to Taiwan." *Reuters*, September 2nd, 2022. https://www.reuters.com/world/asia-pacific/us-approves-potential-11-bln-arms-sale-taiwan-pentagon-says-2022-09-02/.
[3] "China Adds Two Companies to Unreliable Entities." *State Council Information Office - People's Republic of China*, February 17th, 2020. http://english.scio.gov.cn/pressroom/2023-02/17/content_85111530.htm#:~:text=The%20two%20companies%20are%20Lockheed,China%2C%20according%20to%20the%20announcement.
[4] Wu, Huizhong. "China reveals new details of Raytheon, Lockheed sanctions." *Defense News*, April 18th, 2023. https://www.defensenews.com/industry/2023/04/18/china-reveals-new-details-of-raytheon-lockheed-sanctions/.

billion USD arms sale to Taiwan on 2022/09/02, which Lockheed and Raytheon both participated in.[5]

This was the first use of China's Unreliable Entities List. The List was threatened on 2019/05/31[6] and its regulations were established on 2020/09/19,[7] in retaliation to sanctions imposed by the US through the Bureau of Industry and Security's Entity List on 2019/05/15.[8] Back then, China did not actually impose sanctions through its Unreliable Entity List to retaliate against the US's use of the BIS Entity List.

Lockheed and Raytheon were not dissuaded by being added to China's Unreliable Entities List, as they continued to sell arms to Taiwan in subsequent incidents.[9] Lockheed Martin and Raytheon Missiles & Defense remain on the Unreliable Entities List.

[5] Harris, Bryant. "US approves $1.1 billion Taiwan arms sale." *Defense News*, September 6th, 2022. https://www.defensenews.com/pentagon/2022/09/06/us-approves-11-billion-taiwan-arms-sale/#:~:text=By%20Bryant%20Harris,robust%20bipartisan%20support%20for%20Taipei.

[6] "商务部:中国将建立不可靠实体清单制度." *Guancha.cn*, May 31st, 2019. https://www.guancha.cn/politics/2019_05_31_503931.shtml.

[7] "中国公布不可靠实体清单制度 对"违反正常市场交易原则"的外国实体采取措施." *Reuters*, September 18th, 2020. https://web.archive.org/web/20210729073225/https://cn.reuters.com/article/china-unreliable-foreign-entities-0919-idCNKBS26A083.

[8] "Executive Order on Securing the Information and Communications Technology and Services Supply Chain." *Trump White House Archives*, May 15th, 2019. https://trumpwhitehouse.archives.gov/presidential-actions/executive-order-securing-information-communications-technology-services-supply-chain/.

[9] Rai, Arpan. "China Hits Lockheed Martin, Raytheon and Boeing with Export Ban after US Arms Sales to Taiwan." *The Independent*, January 2nd, 2025. www.the-independent.com/asia/china/china-ban-lockheed-martin-raytheon-taiwan-us-firms-b2672740.html.